

EQUITY RESEARCH

NOW ServiceNow, Inc.

Technology · \$98.78

Where we are: Post-earnings; call complete; transcript not verified
Fundamental (consensus): Buy
Tactical (technical): Weak

Investment summary

Fundamental rating	Buy 15 strong-buy / 33 buy / 5 hold / 1 sell / 0 strong-sell
Tactical rating	Weak Long-term trend broken; short-term correction below the 20-day and 50-day averages.
Data confidence	Medium no filed 10-K/10-Q financials; analyst consensus feed connected; full-year trading history
12-month target	unavailable — price target is not included in our data plan
Reading the split	Analyst consensus is positive; the technical setup is negative. These measure different things — the Street's view of the business vs where price sits in its own trend — and right now they disagree.
Horizon	12-month fundamental view; swing (2-8 week) tactical overlay
Where we are	Post-earnings; call complete; transcript not verified

Thesis

- Revenue grew 24.0% y/y in the quarter ended 2026-06-30 (GAAP, as filed)
- Net margin of 7.5% on the same quarter
- Operating cash flow of \$587M in the quarter (GAAP, as filed).

Key risks

- Forward bookings are growing below reported revenue: cRPO +21% versus subscription revenue +24%, so current growth may not sustain into the next year absent re-acceleration.
- Currency headwind flagged in guidance (\$35 million year-over-year headwind for Q3 2026 cRPO); a stronger dollar pressures reported and cRPO growth.
- Price is below its 200-day average (126.70), a structural downtrend until reclaimed.

Consensus and estimates carry Finnhub's as-of date; filed figures are SEC XBRL. Observed facts, derived calculations and interpretation are separated in the appendix.

Business model and competitive position

“ServiceNow, Inc.” (Software - Application; 29,187 employees) Revenue was \$3.99B in the most recent reported quarter, +24.0% against the same quarter a year earlier, at a 70.7% GAAP gross margin. No segment revenue mix, market-share estimate or installed-base figure is ingested here, so none is claimed.

Sources: Yahoo Finance company profile (vendor description); SEC XBRL 10-Q.

Enterprise motion

The customer base is concentrated in large enterprise and expanding within it: 658 customers above \$5M in ACV — at least \$3.29B of annualised contract value from the largest accounts alone; 123 transactions above \$1M net-new ACV closed in the quarter. Growth is driven by landing and expanding large accounts, not volume of small ones. [DER]

Revenue visibility

Contracted backlog gives unusual visibility: cRPO of \$13.20B covers roughly 85% of the next twelve months at the current subscription run-rate (\$15.51B annualised), and total RPO of \$29.00B is about 1.9 years of that run-rate already under contract. The revenue model is subscription-first, so the near term is largely booked before the quarter begins. [DER]

Growth and cash balance

Subscription growth of 24.5% against a quarterly free-cash-flow margin of 11.9% (FCF / total revenue, OCF minus capex basis) puts the growth-plus-cash balance near 36 on this quarter's GAAP-derived figures. Issuer-defined FCF excludes items this calculation does not, so the company's own framing will read higher. [DER]

AI franchise

The issuer states AI has crossed \$1.00B in annual contract value — at least 6% of the full-year subscription-revenue guidance midpoint (\$15.77B), and the fastest-compounding line the release discloses. Whether that line re-accelerates bookings is the swing factor in the forward-growth debate. [DER]
Margins for the quarter: gross margin 70.7%, GAAP net margin 7.5% (SEC XBRL). [OBS]

The market debate

Forward bookings are decelerating below reported revenue: cRPO +21% versus subscription revenue +24%. The debate the multiple has to resolve is whether that gap is a temporary comparison or the start of a durable slowdown. The AI ACV inflection (now past \$1B) is the swing factor for whether that gap closes. [DER]

Latest quarter and estimate context

Reported (latest quarter, SEC XBRL)	Value	Change
Revenue	\$3.99B	y/y +24.0%
Gross margin	70.7%	
Net margin	7.5%	
Net income	\$298M	
Operating cash flow	\$587M	
Free cash flow	\$473M	
Diluted EPS (TTM)	\$1.60	

Earnings vs consensus (history)

Period	Actual EPS	Consensus EPS	Surprise
2026-06-30	\$0.90	\$0.86	+4.3%
2026-03-31	\$0.97	\$0.97	-0.3%
2025-12-31	\$0.92	\$0.89	+3.2%
2025-09-30	\$0.96	\$0.86	+11.8%

Forward consensus and estimate revisions: unavailable — forward consensus is not included in our data plan

Guidance

Metric	Guided
Subscription revenue (full-year outlook)	\$15.76B – \$15.78B
Subscription revenue (next-quarter outlook)	\$3.98B – \$3.98B
FX commentary	\$35 million year-over-year headwind for Q3 2026 cRPO

From the issuer's earnings release (8-K exhibit). [\[OBS\]](#)

Subscription and operating KPIs

Metric	Value	YoY
Subscription revenue	\$3.88B	+24.5%
cRPO (current RPO, next 12 mo)	\$13.20B	+21.0%
RPO (total remaining performance obligations)	\$29.00B	+21.0%
AI annual contract value	≥ \$1.00B	—
Deals over \$1M net-new ACV	123	—
Customers over \$5M ACV	658	—

From the issuer's earnings release (8-K exhibit 0001373715-26-000072). These are stated facts in the filed release. [\[OBS\]](#)

Valuation

Metric	Value	Basis
Trailing P/E	61.7x	price / TTM EPS
Enterprise value	\$101.12B	market cap + debt – cash
EV / revenue (run-rate)	6.3x	EV / annualised latest quarter
FCF yield (run-rate)	1.9%	annualised quarterly FCF / market cap

Run-rate multiples annualise the latest quarter and are labelled as such; they are not trailing-twelve-month figures. [DER]

Peer multiples

Ticker	Trailing P/E
NOW (subject)	61.7x
MSFT	22.6x
ORCL	19.4x
PANW	313.1x
CRWD	n/a
FTNT	57.1x
ZS	n/a

This peer list is vendor-provided (Finnhub's sector/industry grouping) and NOT curated by us — some names may be poor business comparisons and are shown only because the vendor groups them together. Multiples are vendor trailing P/E. [finnhub /stock/peers](#) + [/stock/metric](#).

Not valued here

Historical multiple band: unavailable — a point-in-time historical EPS series is not available on this tier, so a real historical multiple band cannot be built; the 52-week PRICE range divided by current EPS would be circular
 Forward / bull-base-bear scenarios: unavailable — no admitted forward guidance or consensus estimates on this tier; bull/base/bear prices are withheld until the issuer release is ingested rather than derived from the price range

Price and technicals



Candles with SMA 20/50/200, volume against its 20-session average, and RSI(14). 120 completed sessions; relative strength vs SPY rebased to 100 at the window start; E marks a verified earnings release. [DER]

Key levels on the chart

Level	Price
Last (completed session)	\$98.78
52-week closing high	\$199.24
60-session closing high	\$135.86
60-session closing low	\$87.05
52-week closing low	\$83.00

Technical read

Long-term trend broken; short-term correction below the 20-day and 50-day averages. Tactical stance: Weak (0 of the 20/50/200 averages reclaimed). [DER]

Catalysts, variant view and what to monitor

Catalysts

Last confirmed: company earnings release (8-K item 2.02) — the earliest verified public disclosure of these results, found by scanning 2 filings; the later periodic filing is not the catalyst (2026-07-22 16:11 ET). regulator-confirmed (EDGAR acceptance timestamp) [OBS]

The earnings release disclosed 5 days ago remains the most recent confirmed company event. [DER]

Next: next earnings (estimated ~one quarter after the last release; not company-confirmed) on 2026-10-21 (estimated from the last release date) [DER]

Ranked risks

- Forward bookings are growing below reported revenue: cRPO +21% versus subscription revenue +24%, so current growth may not sustain into the next year absent re-acceleration. [OBS]
- Currency headwind flagged in guidance (\$35 million year-over-year headwind for Q3 2026 cRPO); a stronger dollar pressures reported and cRPO growth. [OBS]
- Price is below its 200-day average (126.70), a structural downtrend until reclaimed. [DER]

Variant perception

Forward bookings are decelerating below reported revenue: cRPO +21% versus subscription revenue +24%. The debate the multiple has to resolve is whether that gap is a temporary comparison or the start of a durable slowdown. The AI ACV inflection (now past \$1B) is the swing factor for whether that gap closes. [DER]

What would change our mind

Confirms on: reclaim of the 200-day at \$126.70 on above-average volume [DER]

Breaks on: loss of the 60-session closing low at \$87.05 [DER]

Monitoring checklist

State	Stage	Condition
open	Early improvement	daily close above the 20-day at \$103.69
open	Intermediate confirmation	reclaim the 50-day at \$104.12
open	Full technical upgrade	reclaim the 200-day at \$126.70
open	Invalidation	daily close below the 60-session closing low at \$87.05

Next to watch: Early improvement — daily close above the 20-day at \$103.69 (next stage of 3); invalidation on a close below \$87.05 [DER]

Scheduled review: 2026-08-03.